

WHAT HAPPENED

Finance loses control when the number, its explanation and its approval live apart

A group close becomes three separate acts: reconcile the ledger, explain the movement, and publish the pack. When each act carries its own logic, the same July result can arrive with three versions of the truth.

THE FAULT

A reported total carries no account of how it became true

Dashboards report, spreadsheets explain, and email approves. Period, version and source vintage fall away between them.

THE RESPONSE

One governed path from source row to Board sentence

The workbench keeps the measure, comparator, driver, source row, approval and audit record on one deterministic spine.

THE DECISION

Test the spine on one real close

Start read-only, fix the source and approval boundary, and judge it against a baseline captured before work begins.

July opens with the answer, not a wall of metrics

Kestrel Industrial Group, July 2026: £12.4m revenue, 41.8% gross margin, £2.1m EBITDA and £4.8m cash, read by the Group CFO against approved forecast v6.

Jul 2026

Kestrel Industrial Group plc · against forecast v6, over the same window

REVENUE	GROSS MARGIN	EBITDA	CASH
£12.4m	41.8%	£2.1m	£4.8m
+5.2% vs forecast v6, over the same window	-194bps vs forecast v6, over the same window	-0.5% vs forecast v6, over the same window	-18.1% vs forecast v6, over the same window

9 items need a decision in Jul 2026. 9 findings in Jul 2026: 3 on needs attention, 2 on performance, 3 on risks, 1 on opportunities. 4 of them are forward items, where a decision is still available. Revenue was £12.4m and EBITDA £2.1m, measured against version v6. 4 of 5 ledgers are closed.

What needs a decision

Partitioned by direction and horizon, so each finding has exactly one home. Ranked within a board by the materiality policy — never across them, because a £48k reconciliation break and a £0.8m opportunity are not comparable quantities.

The view answers three questions before it offers a drill.

- Which period and version? They remain visible and travel in the URL.
- Is the number final? Close completeness is stated above every figure.
- What needs action? Findings sit in direction × horizon boards with typed next steps.

The result first

The headline row is one line tall; the decision boards, not a catalogue of KPIs, take the page below it.

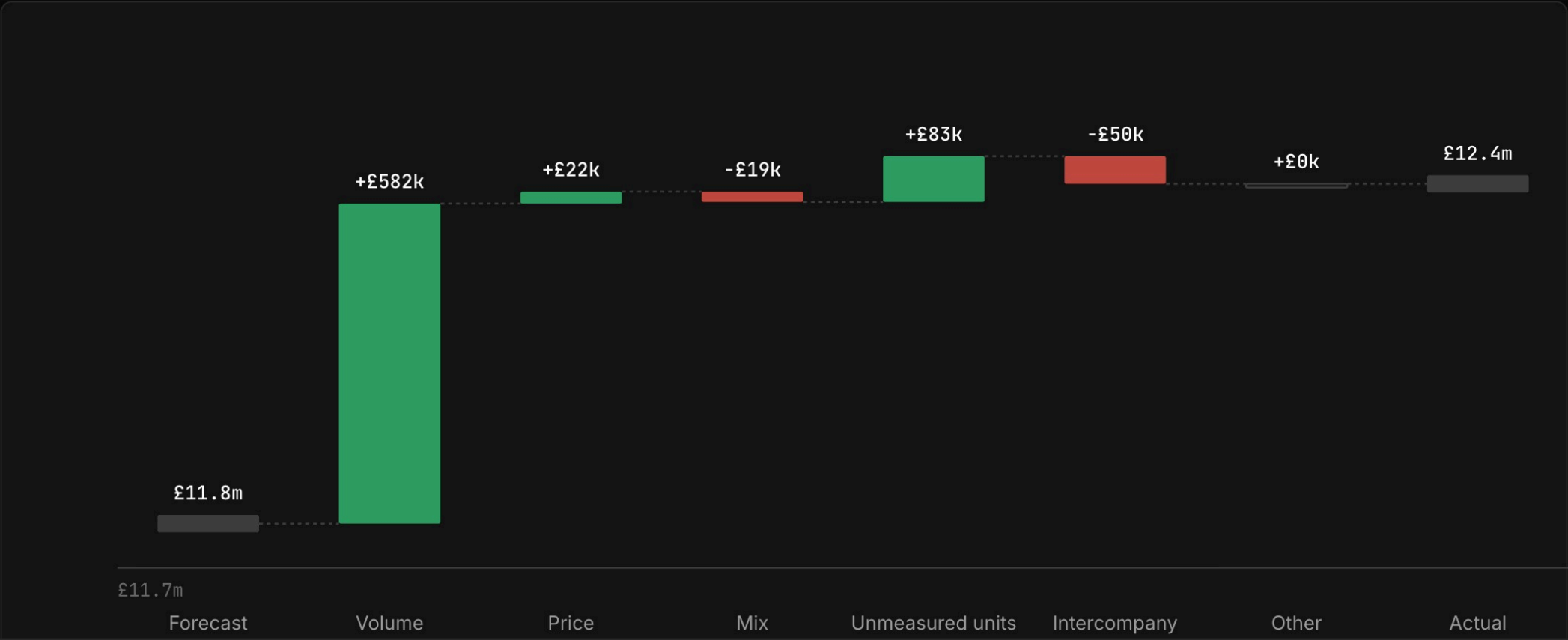
The four headline values are computed outputs from the fixed seed; changing the model moves them and fails the freshness checks.

A £0.7m beat becomes a volume decision

July revenue of £12.4m is ahead of approved forecast v6, and the bridge identifies volume as the largest component rather than stopping at the delta.

Revenue, decomposed

Jul 2026 against forecast v6, over the same window. Currency is separated first, so no commercial bar carries a translation effect.



One movement, assigned

The component carries an owner and links to the level where it can be investigated.

The arithmetic has to close before the story is allowed to start.

- **Price, volume and mix** follow a stated order of attribution.
- **Currency separates first** so no commercial bar hides a translation effect.
- **Ununitised work stays named** instead of receiving an invented volume.

A challenged cell opens until the source vintage answers

The analyst’s revenue cell carries its formula, entity children, account inputs, row counts and immutable load identity; the same URL reproduces the same pivot and open drill.

Revenue, one level down

A group figure breaks into its entities, each computed at its own level — so these are measurements rather than a share of the figure above. They are the **combined** total, so the intercompany elimination is named as its own line and the parts tie to the consolidated cell.

Formula and provenance for this cell

INPUT	STORED VALUE	MONTHS	ROWS	VINTAGES
External revenue revenue	1,234,522,034	2026-07	10	v-2026-07-core, v-2026-07-d365-eu, v-2026-07-fusion-gulf, v-2026-07-netsuite-us
Intercompany revenue (unmatched) revenue_ic	4,800,000	2026-07	1	v-2026-07-core

external revenue + any intercompany revenue that did not eliminate. Owned by Group FP&A; definition approved. Current value £12.4m from 4 contributing vintages. Input values are the measure engine’s stored values; the computed result above carries the display unit.

£12.4m · consolidated

LEVEL	VALUE	SHARE
-------	-------	-------

One computed figure carries the whole drill spine.

- **Formula** comes from the approved measure catalogue.
- **Children** are measures at the finer grain, not percentages of a parent.
- **Source evidence** ends in row identity and vintage, ready for export with provenance.

The grid is not the proof

The proof is the path beneath the selected cell and the fact that its parts recompute rather than inherit shares.

The source rows are generated GL-shaped facts, not customer ledger entries; the Controls surface states that boundary explicitly.

A forecast version is a belief you compare, not a file you overwrite

Approved v6 and draft v7 retain their own actuals cut-off and assumptions, so Finance can read which drivers changed before deciding whether the draft replaces the approved view.

What changed between Forecast v6 and Forecast v7

8 of 8 assumptions moved.

AGAINST Forecast v4 Forecast v5 **Forecast v6**

Assumptions that moved

ASSUMPTION	OWNER	FROM	TO	MOVES
Volume Applied to units in every unitised segment, and to project revenue.	Operations Director	94.6%	100.0%	revenue, cost_of_sales, gross_profit
Price	Commercial Director	99.8%	100.0%	revenue, gross_profit, gross_margin
Unit cost	Operations Director	99.3%	100.0%	–
Cost to serve, services Applied to delivery cost on contracts and projects only. Every version has under-called it — the margin miss on services, the rate above assumption and the forecast bias are all this one number.	Services Director	94.1%	100.8%	–

The draft stays a draft

The active approved forecast remains the variance basis until a named approval changes it.

Version identity makes “what changed?” a reproducible question.

- **Actuals through** fixes where observation ends and projection begins.
- **Driver values** are compared directly, not inferred from output movements.
- **Total effect** is recomputed through the same financial model.

The diff reports the total effect exactly; it does not allocate that effect across assumptions without the marginal reruns such a claim requires.

An assumption is only useful when it reaches the cash line

Add ten collection days: revenue and margin stay unchanged, working capital moves, and the 13-week direct cash forecast shows where liquidity tightens.

What it does

Plan against plan: both sides read a forecast version, so the difference is the assumption rather than the gap between a projection and a record.

MEASURE	APPROVED	SCENARIO	MOVEMENT
Revenue	£11.8m	£11.8m	—
Gross margin	43.7%	43.7%	—
EBITDA	£2.1m	£2.1m	—
Working capital	£20.8m	£24.8m	+£4.0m
Cash	£5.9m	£1.8m	-£4.0m
Net debt	£9.7m	£13.8m	+£4.0m

Direction comes from each measure's polarity, not the arithmetic sign — a cost that rose is a positive movement and unfavourable news.

Plan against plan

Both sides use forecast assumptions, so the movement is caused by the lever rather than by an actual-versus-plan gap.

Thirteen weeks of cash

Receipts and payments as opposed columns rather than one net figure, because a week that nets to zero because £2m arrived and £2m left is not a quiet week. Opening balance £4.8m.



The week matters

The path first breaches the £2.5m floor at £1.7m in week 9, reaches £1.3m in week 10, then recovers before the horizon ends.

A forecast earns trust by exposing its repeated misses

Subcontract cost was under-called across v4, v5 and v6. Each miss shrank, but the direction never reversed, revealing an assumption the team had three chances to correct.

Are we wrong the same way every time?

A run across **versions**, not across months. Months inside one version share its assumptions, so twelve months all wrong the same way is one mistake seen twelve times; three versions all wrong the same way is three separate opportunities to correct it, not taken. Bias needs a run of 3 *and* a mean miss over 2.0% — a run of three at 58 basis points is real, consistent, and not worth anybody's afternoon.

MEASURE	MEAN ERROR	RUN	VERDICT	PER VERSION
Revenue	+2.3%	0 of 3	RUN TOO SHORT	v4 +4.0% v5 +1.2% v6 -5.0%
Cost of sales	-2.3%	3 of 3	UNDER-CALLED	v4 -1.2% v5 -2.7% v6 -8.2%
Subcontract labour	-9.6%	3 of 3	UNDER-CALLED	v4 -11.0% v5 -8.2% v6 -5.6%
EBITDA	+20.4%	3 of 3	OVER-CALLED	v4 +25.2% v5 +17.2% v6 +0.5%

The per-version series is the evidence rather than the assertion: a reader told “biased” and shown one number has to take it on trust. The misses shrink each time, which is why no single version’s variance looked like a pattern.

How wrong, and at what distance

Reported per horizon rather than pooled. A team whose one-month forecast is excellent and whose six-

A run, not a label

The per-version errors remain on screen so a reader sees the evidence behind the bias verdict.

Three instruments answer three different objections.

- **Error by horizon** shows where distance weakens the forecast.
- **Bias by version** finds the assumption repeatedly set on the wrong side.
- **Value added** asks whether the process beats the prior-year baseline.

Approval freezes the words and the vintage together

June gross-margin commentary remains pinned to v-2026-06-core after a July restatement arrives, preserving exactly what the Chief Financial Officer approved.

Commentary that stays attached to its figures

The headline is for the Board; the supporting chain is for the controller. Opening one changes no period, version or comparator. Each approval event names the actor, and publication freezes both wording and vintage.

STATEAllDraftIn reviewApprovedPublishedRejected

Signed in as Group CFO · may publish

BOARD-READYHEADLINE

Contractor rates were the principal pressure on gross margin.

PERIODJun 2026

COMPARATORforecast

VERSIONv6

ANCHORgross_margin · Kestrel Industrial Group plc

The approved chain attributes the movement before linking to supporting rows.

Published snapshot · revision 1 · vintage v-2026-06-core

Published by Chief Financial Officer on 2026-07-08. Later loads do not rewrite it.

+ Open supporting chain

movement ⇒ drivers ⇒ accounts ⇒ source rows

Approval is evidence, not a status dropdown.

- Draft → review → approved → published is enforced as a state machine.
- Reject records a named actor and reason.
- Provenance retains figure references, author type, prompt version and vintage.

Board sentence above, controller chain below
Opening the support reveals movement, drivers, accounts and source rows without changing period, comparator or version.

A controller sees the break before the Board sees the number

July is 4 of 5 entities closed; Kestrel Inc is submitted, intercompany trading fails by £48k with both sides named, and two unmapped accounts carry £212k of exposure.

The reconciliation gate

Each control names its arithmetic and both sides. A red icon without the numbers it compared is not a reconciliation.

NAMED CHECK	STATUS	LEFT SIDE	RIGHT SIDE	DIFFERENCE
Assets equal liabilities plus equity Consolidated assets – consolidated liabilities – consolidated equity = £0.00 Run 2026-08-04 · 03:12:00 UTC	PASSED	£80.1m Consolidated assets Kestrel Manufacturing Ltd, Kestrel Services Ltd, Kestrel Gulf Technical Services FZ- LLC, Kestrel Europe GmbH, Kestrel Inc	£80.1m Consolidated liabilities plus equity Kestrel Manufacturing Ltd, Kestrel Services Ltd, Kestrel Gulf Technical Services FZ-LLC, Kestrel Europe GmbH, Kestrel Inc	£0.00 threshold £0.00
Mapped P&L reconciles to the trial balance The trial-balance gap equals the mapping set's explicit unmapped-account register Run 2026-08-04 · 03:12:00 UTC	PASSED	£212k Trial-balance rows held on the unmapped P&L line Kestrel Manufacturing Ltd, Kestrel Services Ltd	£212k Mapping exceptions in map- 2026-07 Kestrel Services Ltd, Kestrel Manufacturing Ltd	£0.00 threshold £0.00
Intercompany trading nets across the group Intercompany revenue recorded by seller ledgers equals intercompany purchases recorded by buyer ledgers Run 2026-08-04 · 03:12:00 UTC	FAILED	£903k Seller ledgers – intercompany revenue Kestrel Manufacturing Ltd	£855k Buyer ledgers – intercompany purchases Kestrel Services Ltd, Kestrel Gulf Technical Services FZ-LLC, Kestrel	£48k threshold £1.00

The failed check carries its arithmetic

Seller ledgers and buyer ledgers remain visible beside the difference and threshold.

Three control facts block quiet publication.

- **4 / 5 closed** keeps Kestrel Inc's submitted figures marked as able to move.
- **£48k intercompany** names the manufacturing seller and Gulf buyer sides.
- **£212k unmapped** equals the explicit gap between mapped P&L and trial balance.

A restricted user gets a refusal, not a smaller group answer

The Gulf business-unit controller is scoped to Gulf, has no publish right, and cannot resolve group figures on a page or through Ask.

Who you are, and what you can read

Role controls the action; an entity-subtree grant controls the rows. Pages and Ask use this same resolved scope, so chat cannot become a wider route around the product.

ACT AS Group CFO Group FP&A lead Group financial controller **Gulf business-unit controller**

ACTIVE PRINCIPAL	ROLE	ENTITY ROOT
Gulf business-unit controller gulf-controller	controller	Kestrel Gulf Technical Services FZ-LLC gulf
RESOLVED ROWS	DIMENSION FILTERS	PUBLISH COMMENTARY
Kestrel Gulf Technical Services FZ-LLC	No additional dimension filter	Not granted

Named denial. Access refused for Gulf business-unit controller: this persona is scoped to Kestrel Gulf Technical Services FZ-LLC and cannot read group figures.

One resolver binds every route that can reveal a figure.

- **Selectors** offer only entity subtrees inside the principal's grant.
- **Pages** receive the filtered measure context, not a later display mask.
- **Ask tools** use the same principal and return the refusal in words.

The denied object is named

A forbidden group URL clamps back to Gulf and records the refusal instead of silently returning a partial group.

The model gets figures after code has decided what is true

Every figure, comparison, bridge, forecast, scenario, detector and permission scope is deterministic. Language enters only after a closed evidence set exists; a named human remains at the publication boundary.

01 · Code

Computes and constrains

Signed minor-unit facts, period basis, currency translation, consolidation, measures, drivers, materiality, reconciliation and row-level scope.

Refuses partial truth

A missing input returns no figure; an unsupported trend returns no bridge; a forbidden entity returns a named denial.

02 · Model or template

Phrases a closed set

Receives governed labels, figures, units, ownership and provenance. Generated numerals are checked against that supplied set before the prose is committed.

Never decides

No invented number, materiality threshold, mapping, forecast assumption, approval or journal posting.

03 · Human

Owns judgement and release

Finance approves definitions and mappings, challenges the evidence chain, records reasons, chooses the active forecast and publishes a vintage-pinned snapshot.

Leaves evidence

Approval history and AI usage are append-only records with actor, timestamp, input vintage and disposition.

Choose one ledger, one close and one baseline before the pilot starts

The demo proves the product spine. A bounded pilot replaces synthetic inputs with one controlled source-to-publication chain and measures the result against today’s finance cycle.

RECOMMENDATION

One read-only close, end to end

Take one legal entity from source load through mapping, approved measures, actual-versus-forecast explanation, close checks, commentary approval and one permission-refusal test.

- **Success** the signed period reproduces from version and vintage.
- **Success** every exception reconciles to an explicit register.
- **Success** cycle time and forecast value are measured against the captured baseline.

INPUTS THAT SET THE WORK

Source and model

- **First ERP and operational systems** select the connector mechanism.
- **Chart of accounts and mapping owner** set the largest early workstream.
- **Approved KPIs and materiality policy** replace the demo defaults.
- **Reliable operational drivers** determine which attribution survives real data.

INPUTS THAT SET THE BOUNDARY

Governance and value

- **Reviewer, publisher and delegation** define the approval path.
- **Retention period** defines evidence storage.
- **ROI baseline** is captured before the first load.
- **Sector and security language** resolve the open financial-institution and procurement questions.